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THE FINANCIAL PATHWAY

It's the right time to align climate finance with ambition and innovation

INDIA'S goal to achieve net-zero emissions is a defining opportunity to shape the next chapter of our economic and industrial growth journey to meet the aspirations of 1.4 billion people. The path to this will inevitably influence how industries evolve, how global partnerships are forged and how India positions itself as a leader. Innovation and scaling up solutions will enable us to achieve our ambitious targets. Across critical sectors—energy, supply chains, mobility, advanced materials, precision engineering, bio tech, agriculture and more—breakthrough technologies will be essential.

While the technological roadmap may be emerging, the financial pathway to finance this innovation at the scale and pace it demands remains complex and challenging. Estimates suggest that India will need to invest close to \$1 trillion annually through 2050 to stay on course. This figure, nearly six times our current deployment, underscores the scale of transformation required. Public or catalytic finance alone cannot meet this need; private capital must step in to close the gap.

This calls for a fundamental shift. Transition finance cannot be viewed as concession or subsidy driven. Instead, it must be recognised as strategic capital, aligned with growth objectives and generating handsome returns. It should enable scale, sup-

port innovation and reward performance. Such capital cannot be monolithic. It must span a spectrum of instruments and risk appetites suited to the stages of technological and business maturity. A complete capital stack, spanning various stages of risk and returns, is required.

In the earliest stages of innovation, for example, high-risk and patient capital is required as new technologies are proven and markets developed. Here, public funding, private philanthropy, R&D and first-loss capital make it possible to test new ideas without burdening the ventures with commercial expectations too soon. As these technologies find product-market fit and show viability, venture equity can step in to fuel early scaling-up efforts.

As companies grow and the need to build manufacturing capacity or infrastructure emerges, products such as structured debt and growth equity along with parametric insurance become important to support expansion while balancing risk and return. For large-scale deployment and adoption, blended finance models, guarantees, risk sharing facilities and currency hedging will be required to attract institutional and long-term investors. These structures de-risk investments and make them viable for pension funds, sovereign wealth funds and other large pools of capital. Innovation is re-

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